Attorney General James Demands Answers from Instacart about Algorithmic Pricing

Recent Study Revealed Instacart's Price Experiments Led to Shoppers Being Charged Significantly Different Prices for the Same Products
Instacart Must Disclose Algorithmic Pricing Under New York Law

January 8, 2026

NEW YORK – New York Attorney General Letitia James today sent a letter to online grocery shopping platform Instacart demanding more information about its use of algorithmic pricing and price-setting experiments after a recent report revealed Instacart users were being charged significantly different prices for the same products. In December, Groundwork Collaborative and Consumer Reports released a detailed study showing Instacart was varying prices for the same product, with some shoppers seeing prices that were up to 23 percent higher for the exact same products in the same store at the same time. New York's recent Algorithmic Pricing Disclosure Act requires companies to clearly and conspicuously state when they are using consumers' personal data to affect prices. Attorney General James warns Instacart that it may be violating the law, and requests detailed information on the pricing experiments highlighted in the recent report and Instacart's efforts to comply with the Algorithmic Pricing Disclosure Act.

"Charging different prices for the exact same products leaves shoppers feeling cheated and threatens to raise costs at a time when consumers are already paying too much at the grocery sto ut hov us cor r law

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single good. The experiment revealed that these price differences could translate to $1,200 per year in additional costs for a typical family of four. Following the study's publication, Instacart announced that it was ending all "item price tests" but suggested that its partners, including grocery stores and food brands, could continue to test different types of promotions and discounts for its customers on the platform.

New York's Algorithmic Pricing Disclosure Act took effect on November 10, 2025, and requires most companies that use algorithmic pricing, also known as surveillance pricing, to disclose that they use customers' personal data to set individualized prices. Businesses must include a clear disclosure prominently displayed near prices stating, "THIS PRICE WAS SET BY AN ALGORITHM USING YOUR PERSONAL DATA." In the letter, Attorney General James warns Instacart that its disclosures – which are buried on a page only accessible by clicking on fine print text and are not clearly displayed near product prices – may not be complying with the law.

Attorney General James is demanding detailed information from Instacart about its price-setting tactics, including:

- Its agreements with its retail and food brand partners concerning price setting, discounts, and automated tools to run price experiments on shoppers.
- The automated tools used by Instacart and its partners to adjust prices and discounts, including how consumer data may be used for these price changes.
- Instacart's price experiments, including the ones revealed by the Groundwork Collaborative and Consumer Reports study.
- Instacart and its partners' use of algorithmic pricing and their efforts to comply with New York's disclosure requirements.

Attorney General James has consistently taken action to protect consumers from being taken advantage of at the grocery store. In November 2025, Attorney General James released a consumer alert warning New Yorkers about algorithmic pricing and encouraging businesses to follow the law to disclose their use of algorithmic pricing. Attorney General James has also taken act

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